Makaut — BCA, Semester 6

Strategic Management

Module 1

An Overview of Strategic Management

Topics Covered

Understanding Strategy · Scope and Importance of Strategies · Mission · Vision · Goals · Objectives · Defining and Explaining Strategy · Levels at Which Strategy Operates · Strategic Decision Making · The Process of Strategic Management

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Study notes prepared for exam revision. Definitions are given in the form commonly found in standard textbooks; use your prescribed textbook and Prof. Saha's lectures as the final authority.

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How to use these notes

Each section follows the same pattern: a plain-language explanation first, then the formal definitions and thinkers, then diagrams or tables, and finally exam hints. The coloured boxes mean:

- **Blue box** — the central idea; if you only read one thing, read this.
- **Outlined box** — formal definitions you can write in an exam.
- **Green box** — worked or real-world examples.
- **Gold box** — exam tips and how marks are earned.
- **Red box** — mistakes students commonly make.

One-paragraph summary of Module 1

Strategic management is the process by which the top management of an organization decides *where the organization is going* (vision, mission, goals, objectives), *how it will get there* (strategy, at corporate, business and functional levels), and *whether it is working* (evaluation and control). Strategy itself is a long-term, big-commitment pattern of choices that fits the organization's resources to its environment so that it can earn an advantage over competitors. Strategic decisions are different from daily decisions because they are costly to reverse, uncertain, and affect the whole organization. The whole thing runs as a continuous loop: set direction $\rightarrow$ analyse environment $\rightarrow$ formulate $\rightarrow$ implement $\rightarrow$ evaluate $\rightarrow$ adjust.

1 An Overview of Strategic Management

1.1 Why this subject exists

Every organization — a two-person software startup, a college, TCS, a government hospital — has *limited* resources (money, people, time, management attention) but *unlimited* things it could do. Strategic management is the discipline that helps an organization decide **what to do, what *not* to do, and how to do it** so that it keeps succeeding over the long run, not just this month.

Think of two students preparing for the same exam. One studies whatever comes to hand each day. The other looks at the syllabus, the past papers and the time left, decides which chapters carry the most marks, plans the weeks, and adjusts when a mock test goes badly. The second student is practising "strategic management" on a personal scale.

1.2 Origin of the word "strategy"

The word comes from the Greek *strategos*, meaning "general", itself built from *stratos* (army) and *agein* (to lead). So strategy originally meant **the art of the general**: deciding how to deploy forces to win a war, as distinct from *tactics*, which is how a unit fights a particular battle.

The idea moved into business gradually:

- Ancient military thinkers such as Sun Tzu (*The Art of War*) wrote about choosing the ground, knowing the opponent and knowing yourself — ideas that still appear in business strategy as environmental analysis, competitor analysis and internal analysis.
- After the Second World War, large corporations grew complex and needed formal ways to plan. Game theory (von Neumann and Morgenstern, 1944) gave a language for competitive decisions.
- In 1962 **Alfred Chandler** (*Strategy and Structure*) gave the first influential business definition and showed that structure follows strategy.
- In the 1960s Igor Ansoff, and later Kenneth Andrews at Harvard, built the early frameworks that became the field of *business policy*, later renamed *strategic management*.

1.3 Evolution of strategic management (approximate phases)

1.4 What is strategic management?

Definition — Strategic Management

- **Fred R. David:** Strategic management is the *art and science of formulating, implementing and evaluating cross-functional decisions* that enable an organization to achieve its objectives.
- **Hill and Jones:** Strategic management is the process by which managers formulate and implement strategies to gain a competitive advantage and superior performance.
- **Simple form (use in exams):** Strategic management is the continuous process of setting the long-term direction of an organization, deciding the courses of action to achieve it, putting those actions into effect, and monitoring the results so that corrective action can be taken.

Period	Dominant approach	Main idea
1950s	Budgeting, financial planning	Control costs and plan one year at a time.
1960s	Long-range planning	Forecast the future by extending past trends; plan 3–5 years.
1970s	Corporate strategic planning	Portfolios of businesses (BCG matrix, GE matrix); the environment is no longer assumed stable after the oil shocks.
1980s	Competitive strategy	Industry structure and positioning (Michael Porter's five forces and generic strategies).
1990s	Resource-based view	Competitive advantage comes from unique internal resources and core competences (Prahalad and Hamel; Barney).
2000s onwards	Dynamic capabilities, innovation, digital strategy	Environments change fast; winning firms sense, seize and reconfigure quickly.

Table 1: A simplified timeline of how strategy thinking has changed.

Reading the definition word by word

- **Art and science.** Science because there are analytical tools (SWOT, five forces, financial analysis). Art because judgement, intuition and leadership are needed where data runs out.
- **Cross-functional.** A strategic decision cannot be taken by marketing alone or finance alone; it integrates all functions.
- **Formulating, implementing, evaluating.** These are the three *stages* of strategic management (see Section 11).
- **Enable the organization to achieve objectives.** Strategy is a means, not an end.

1.5 Three stages in one glance

Formulation is a thinking job; implementation is a doing job

A frequently quoted remark is that formulation is *positioning forces before the action*, while implementation is *managing forces during the action*. Many good strategies fail not because they were wrong but because they were poorly implemented. Examiners like this point.

1.6 Vocabulary you must know

1.7 Characteristics of strategic management

1. **Long-term orientation.** Typically spans three to five years or more, though it must react to the short term.

Stage	Key question	Typical activities
Strategy formulation	What should we do?	Set vision, mission, objectives; analyse environment; generate and choose strategies.
Strategy implementation	How do we do it?	Design structure, allocate resources, build culture, set policies and budgets, motivate people.
Strategy evaluation and control	Is it working?	Measure performance, compare with objectives, find reasons for gaps, take corrective action.

Table 2: Formulation, implementation and evaluation.

2. **Top-management driven.** Direction is set at the top; middle and lower levels carry out and give feedback.
3. **Organization-wide.** Concerns the whole firm (or a whole business unit), not one department.
4. **Integrative.** Brings together marketing, finance, operations, HR, IT and R&D.
5. **External and internal.** Matches the organization's strengths to the opportunities in its environment.
6. **Resource-intensive.** Commits large and often irreversible resources.
7. **Dynamic and continuous.** Never "finished"; it is revisited as conditions change.
8. **Uncertain.** Decisions are made with incomplete information about the future and about rivals.
9. **Purpose-focused.** Always tied to vision, mission and objectives.

1.8 Strategic management compared with operational management and long-range planning

1.9 Benefits of strategic management

Financial benefits. Research and practice suggest that firms which use strategic management tend to show better sales growth, profitability and productivity than those that do not, and are more likely to survive downturns.

Non-financial benefits.

- Better awareness of threats and opportunities.
- Clearer common direction, so that departments pull the same way.
- Better quality and speed of decisions because choices are tested against objectives.
- More motivated employees who understand where the organization is going.
- Reduced resistance to change because people take part in the process.
- Stronger ability to respond to competitors and to turn change into advantage.

Term	Meaning
Strategist	A person who is responsible for strategic decisions: CEO, board, top management team, sometimes strategic planners and divisional heads.
Strategic intent	A clear, ambitious long-term aim that focuses the whole organization (Hamel and Prahalad).
Competitive advantage	Anything that lets the firm perform better than rivals over time — lower cost, better quality, unique brand, superior technology.
Sustainable advantage	An advantage that rivals cannot easily copy or erode.
Core competence	A bundle of skills and technologies that is valuable, rare and hard to imitate; the root of many products.
Stakeholders	Anyone affected by or affecting the firm: owners, employees, customers, suppliers, lenders, government, community.
SBU (Strategic Business Unit)	A division, product line or group of related businesses with its own mission, competitors and strategy.
Environmental scanning	Systematically watching external and internal factors for opportunities, threats, strengths and weaknesses.
Policies	Broad guidelines that channel decision making ("we never compromise on data privacy").
Tactics	Short-term, narrowly focused actions that implement a strategy.

Table 3: Basic vocabulary.

1.10 Limitations and criticism

- **Cost and time.** Analysis consumes managerial hours and money.
- **Uncertainty.** Forecasts can be wrong; black-swan events (a pandemic, a new technology) can wreck plans.
- **Rigidity.** A written plan can become a straitjacket and discourage experimentation.
- **Paralysis by analysis.** Too much study, too little action.
- **Gap between planners and doers.** Strategies designed at the top may not be understood or owned below.
- **Hard to measure.** Intangible results such as brand and capability are difficult to quantify.

Running example — Netflix

We will use Netflix to illustrate many ideas in this module.
Netflix began in 1997 as a DVD-by-mail rental service. By 2007 it had launched online streaming. It later began commissioning its own shows. At each stage the *mission* (entertain customers conveniently) stayed broadly similar, but the *strategy* changed as technology, broadband speeds and competitors changed. A firm that had defined itself narrowly as "a DVD rental business" would have been left behind — a point we will return to when

Basis	Strategic management	Operational management
Focus	Doing the right things (effectiveness)	Doing things right (efficiency)
Time horizon	Long term (years)	Short term (days to a year)
Scope	Whole organization or business unit	A department, team or task
Decision makers	Board, CEO, top team	Middle and first-line managers
Information	Mostly external, ambiguous, forward-looking	Mostly internal, structured, historical
Risk	High; errors are costly	Lower; errors are usually correctable
Resources	Large, often irreversible commitments	Routine use of existing resources
Example	Entering the cloud market	Scheduling this week's server maintenance

Table 4: Strategic versus operational management.

we discuss the mission statement.

2 Understanding Strategy

2.1 The everyday meaning

In ordinary speech "strategy" means a plan to win. A cricket captain's decision to open with spin, a chess player sacrificing a pawn to gain position, a student choosing to master high-weightage chapters first — all are strategic because they involve choosing among alternatives, with an eye on the long run, while an opponent or the environment is also acting.

Three questions every strategy answers

1. **Where are we going?** (direction — vision, mission, objectives)
2. **Where will we compete?** (scope — which customers, products, markets, technologies)
3. **How will we win?** (advantage — why customers should choose us over alternatives)

2.2 What strategy is *not*

- **Not a wish.** "We will be number one" is an aim; strategy explains how.
- **Not a budget.** A budget supports a strategy but is not the strategy.
- **Not only a plan.** Plans are written in advance, but strategy also appears in what the firm actually does, including unplanned moves.

Basis	Long-range planning	Strategic management
Assumption about future	Past trends will continue	The future may differ sharply from the past
Environment	Treated as stable	Treated as dynamic and uncertain
Starting point	Forecast, then plan	Analysis of environment and capabilities, then choice
Role of competitors	Little attention	Central to the analysis
Flexibility	Low; plan is fixed	High; plan is revised
Scope	Mainly planning	Planning *plus* implementation and control

Table 5: Long-range planning versus strategic management.

- **Not mere operational effectiveness.** Being efficient at what everyone else does is not strategy (Porter).
- **Not a list of tactics.** Tactics are the small moves; strategy is what gives them meaning.

2.3 Mintzberg's five Ps of strategy

Henry Mintzberg (1987) observed that people use the word "strategy" in at least five different ways. Each is useful; none is complete.

P	Meaning	Illustration
Plan	Strategy as a consciously intended course of action, a guideline for the future.	A five-year growth plan approved by the board.
Ploy	A specific manoeuvre to outwit a competitor.	Announcing a big factory early to discourage a rival from building one.
Pattern	Consistency in behaviour over time, whether intended or not.	A company that always enters markets by acquiring local firms.
Position	Locating the organization in a particular place in its environment — a market niche.	A premium brand serving high-income customers.
Perspective	The organization's fundamental way of seeing the world and doing things — its culture or "personality".	A firm whose identity is innovation, whatever the product.

Table 6: Mintzberg's five Ps.

Exam Tip

"Explain the five Ps of strategy" is a very common question. Always give one line of definition and one tiny example for each P, then add one line saying that the Ps complement each other: a plan can become a pattern, a position is the result of a perspective, and so on.

2.4 Intended, deliberate, emergent and realized strategy

Mintzberg also pointed out that the strategy an organization *intends* is not always the strategy it *ends up following*.

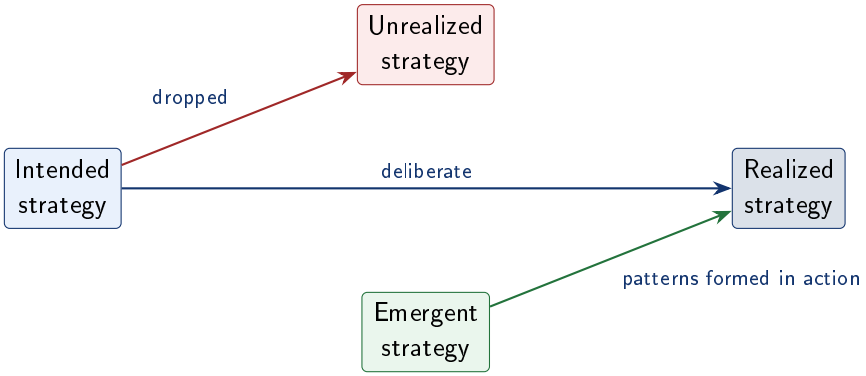


Figure 1: Realized strategy = deliberate part of the intended strategy + emergent strategy.

- **Intended strategy** — what management plans.
- **Deliberate strategy** — the part of the intention that is actually carried out.
- **Unrealized strategy** — the part dropped because it did not work or conditions changed.
- **Emergent strategy** — patterns that appear through actions and experiments, without being planned in advance.
- **Realized strategy** — what the organization actually did: deliberate + emergent.

Honda in America

In the often-told story of Honda's entry into the United States market in the late 1950s, Honda planned to sell larger motorcycles. Its employees, however, used the small Super Cub to run errands around Los Angeles and attracted unexpected interest from customers. Honda switched to selling small bikes to a new kind of customer. The winning strategy was largely *emergent*.

The lesson: good strategy combines planning with learning. Management must stay alert to what the market is telling it and be willing to turn a lucky discovery into policy.

2.5 Strategy compared with tactics, policy and plan

2.6 Features of strategy

1. It is **future-oriented**: concerned with where the organization wants to be.
2. It is **long-term** and sets the direction for many decisions.
3. It is made by **top management** and affects the entire organization.

Basis	Strategy	Tactics	Policy
Meaning	Overall pattern of long-term choices	Specific short-term actions used to execute strategy	General guideline that channels decisions
Time	Long	Short	Continuing
Level	Top management	Middle and lower management	Set by top, applied everywhere
Flexibility	Changes slowly	Changes quickly	Stable
Example	Become the lowest-cost airline	Run a one-week fare sale	No refunds after check-in

Table 7: Strategy, tactics and policy.

4. It is a **match** between the firm's resources and the opportunities and threats in the environment.
5. It involves **significant resource commitment**, often hard to reverse.
6. It aims at **competitive advantage**.
7. It is **multi-dimensional**: touches all functions.
8. It considers **stakeholder expectations**.
9. It is **partly deliberate and partly emergent**.
10. It requires **trade-offs**: choosing something means not choosing something else.

2.7 The strategy diamond (Hambrick and Fredrickson)

A well-formed strategy has five connected elements. Together they answer the "where, how and why" of strategy.

Element	Question	Example (a food-delivery app)
Arenas	Where will we be active? (products, segments, geographies)	Ten Indian cities; restaurant delivery and groceries.
Vehicles	How will we get there? (internal development, alliances, acquisitions)	Build the app ourselves; partner with local restaurants.
Differentiators	How will we win in the marketplace? (speed, price, image)	Thirty-minute delivery guarantee.
Staging	What speed and sequence of moves?	Metro cities first, then smaller towns.
Economic logic	How will we earn returns?	Commission on orders plus advertising by restaurants.

Table 8: The five elements of a strategy.

2.8 Strategic fit

Strategic fit means the match between *what the environment demands* and *what the organization can offer*, and also the match among the organization's own activities (marketing, operations, HR, technology) so that they reinforce one another. A strategy with poor fit is like a beautiful engine placed in the wrong car.

3 Scope and Importance of Strategies

3.1 Scope of strategy

"Scope" answers the question: *how far does strategy reach?* Strategic decisions cover the following ground.

1. **The whole organization.** Strategy concerns the total organization or a whole business unit, not a single task.
2. **Long-term direction.** Which businesses to enter or leave, and how fast to grow.
3. **The environment.** Matching the organization's activities to the market, technology, regulations and society around it.
4. **Resources and capabilities.** Deciding how to gather, allocate and build resources so that the organization can compete.
5. **Stakeholder expectations.** Reconciling what owners, employees, customers and society expect.
6. **Integration of functions.** Linking marketing, finance, operations, HR and IT.
7. **Change and implementation.** Strategy is not complete until it is put into practice and changed when necessary.
8. **All types of organizations.** Business firms, non-profit bodies, government departments, educational institutions, and hospitals all need strategy, though their objectives differ.

3.2 Importance of strategy

3.3 Competitive advantage in brief

Strategy is important largely because it is the route to **competitive advantage**. An advantage is more likely to be sustainable if the underlying resource satisfies four tests (the VRIO questions, Barney):

- **V**aluable — does it help exploit opportunities or neutralise threats?
- **R**are — do few competitors have it?
- **I**mitable (costly to imitate) — would rivals find it difficult to copy?
- **O**rganized — is the firm organized to capture the value of the resource?

3.4 Why strategies fail

- Vague objectives, or objectives that do not match reality.
- Poor analysis of the environment or of the firm's own capabilities.

Why strategy matters	Explanation
Gives direction	Provides a clear path so that thousands of daily decisions pull the same way.
Meets environmental change	Helps an organization anticipate and respond to new competitors, technology, regulation and customer tastes.
Builds competitive advantage	Gives customers a reason to choose the firm and provides profits above industry average.
Guides resource allocation	Resources are scarce; strategy decides where money and talent go.
Improves coordination	Departments share one picture, reducing conflict and duplication.
Reduces risk	Anticipating problems early reduces nasty surprises, even though risk is never zero.
Supports decision making	Gives a yardstick: does this option help us reach our objectives?
Motivates people	Employees who know the purpose work with more commitment.
Supports survival and growth	Organizations without strategy drift and become victims of change.
Creates a basis for control	Objectives and plans make it possible to measure and correct performance.

Table 9: Importance of strategy.

- Top management that announces a strategy but does not support it with resources.
- Weak communication; employees do not understand what is expected.
- Strong resistance to change and a culture that clings to the past.
- Lack of control systems: no one checks whether the strategy is working.
- Over-reliance on the past, as when Kodak, which invented the digital camera in 1975, was slow to give up its film business and filed for bankruptcy protection in 2012.
- Failure to respond to disruptive technology, as Nokia's slow response to touchscreen smartphones shows.

Common Mistake

Do not write "strategy guarantees success". Strategy increases the *probability* of success. Always state that even a good strategy needs good implementation and some luck.

4 Mission

4.1 Meaning

The **mission** states *why the organization exists* and *what it does today* — its basic business, customers, and the value it offers. If the vision is the destination, the mission is the reason for making the journey and the vehicle in which you travel.

Definition — Mission

- A mission is a *statement of the organization's fundamental purpose*, which distinguishes it from other firms of its type and defines the scope of its operations in terms of products and markets.
- **Peter Drucker** argued that a clear mission is the starting point of a business and that it is answered by the question: *"What is our business?"*
- **Exam form:** A mission statement is a broad, enduring statement of an organization's purpose, identifying its customers, products or services, markets and philosophy, and distinguishing it from similar organizations.

4.2 Drucker's questions

Drucker proposed that every organization should ask and keep asking:

1. What is our business?
2. Who is our customer?
3. What does the customer value?
4. What will our business be?
5. What should our business be?

The first three describe the present; the last two push the organization to look ahead. The questions look simple, but a firm that answers them wrongly will aim its strategy in the wrong direction.

4.3 Defining the business: Abell's three dimensions

Derek Abell suggested that a business is best defined not by its product but along three dimensions:

Dimension	Question	Example (online learning platform)
Customer groups	**Who** are we serving?	College students and early-career professionals.
Customer needs	**What** need are we meeting?	Affordable skill-building with recognised certificates.
Technology / alternatives	**How** do we meet the need?	Recorded video, live mentors, AI-based practice tools.

Table 10: Abell's three-dimensional business definition.

Marketing myopia

In a famous 1960 article, Theodore Levitt argued that American railroads declined because they saw themselves as being in the *railroad* business, not the *transportation* business. A mission written around the *need* (movement of people and goods) leaves room to adopt trucks, airlines or new technologies. A mission written around the *product* (railroads) locks the firm into a shrinking market. This is why Netflix did not define itself as a DVD-rental company.

4.4 Characteristics of a good mission statement

1. **Broad in scope** — does not list every product, but does not become so vague that it fits any firm.
2. **Specific enough** to exclude some activities and to guide resource allocation.
3. **Customer-oriented** — stated in terms of the benefit to the customer.
4. **Distinctive** — reveals what sets the firm apart.
5. **Enduring** but reviewed when the business changes fundamentally.
6. **Realistic and achievable** — credible to employees.
7. **Brief and clear** — easily remembered and understood by all.
8. **Motivating** — gives employees and managers a reason to commit.
9. **Ethical and socially responsible** — reflects values.
10. **Reconciles stakeholder interests** — no stakeholder group is ignored.

4.5 Components of a mission statement (David's nine)

Fred David proposed that a comprehensive mission statement answers nine questions:

No.	Component	Question it answers
1	Customers	Who are the firm's customers?
2	Products or services	What are the firm's major products or services?
3	Markets	Where does the firm compete geographically?
4	Technology	Is the firm technologically current?
5	Concern for survival, growth, profitability	Is the firm committed to growth and financial soundness?
6	Philosophy	What are the basic beliefs, values and ethical priorities?
7	Self-concept	What is the firm's distinctive competence or advantage?
8	Concern for public image	Is the firm socially, community and environmentally responsible?
9	Concern for employees	Are employees a valuable asset?

Table 11: The nine components of a mission statement.

Exam Tip

Memory device for the nine components: **C-P-M-T-S-P-S-P-E** — *Customers, Products, Markets, Technology, Survival, Philosophy, Self-concept, Public image, Employees*. Say "Come, Please Make Tea, Sir, Please Sit, Please Enter".

4.6 Examples and how to read them

The following statements are paraphrased from the organizations' public statements; wording on company websites changes over time.

Organization	Mission (paraphrased)	What it tells us
Google	To organize the world's information and make it universally accessible and useful.	Defines the business by what it does for people (information), not by product (search engine).
Microsoft	To empower every person and every organization on the planet to achieve more.	Broad customer scope; "empower" signals tools and platforms.
Amazon	To be Earth's most customer-centric company.	Strong customer orientation and a statement of philosophy.

Table 12: Examples of mission statements.

4.7 A good and a poor statement compared

	Poor statement	Better statement
Example	"We aim to be the best company and make everyone happy."	"We provide small shops in Eastern India with low-cost billing software so that they can run their business without paper records."
Problem or merit	Vague; could belong to any firm; no customer, product or scope.	Names the customer, the need, the product and the market.

4.8 Mission statement versus related ideas

- **Purpose** — the deeper reason for existence; often used as part of mission or vision.
- **Business definition** — the factual description of products, customers and markets.
- **Values** — the beliefs guiding behaviour; sometimes written separately from the mission.
- **Slogan or tagline** — a short marketing line; not a mission.

4.9 Why a mission matters

- Provides a common purpose and unity of direction.
- Guides resource allocation and sets boundaries on what the firm will not do.

- Provides a standard against which opportunities can be judged; offers that do not fit the mission are declined.
- Communicates to customers, investors and the public what the firm stands for.
- Provides the basis for setting objectives.

Common mistake — confusing mission with vision

Students often write the same sentence for both. A simple test: if the sentence is about *today* and *what we do and for whom*, it is a mission. If it is about *the future* and *what we hope to become*, it is a vision.

5 Vision

5.1 Meaning

A **vision** is a picture of the future that the organization wants to create. It answers the question: *What do we want to become?* It is aspirational and inspiring; it stretches the organization beyond its current capability.

Definition — Vision

A vision is a statement of an organization's long-term, aspirational view of itself in the future — a clear mental image of the position it aims to attain — that provides direction and inspires employees and stakeholders.

5.2 Collins and Porras: the structure of vision

In their 1996 article "Building Your Company's Vision", James Collins and Jerry Porras argued that an effective vision has two parts.

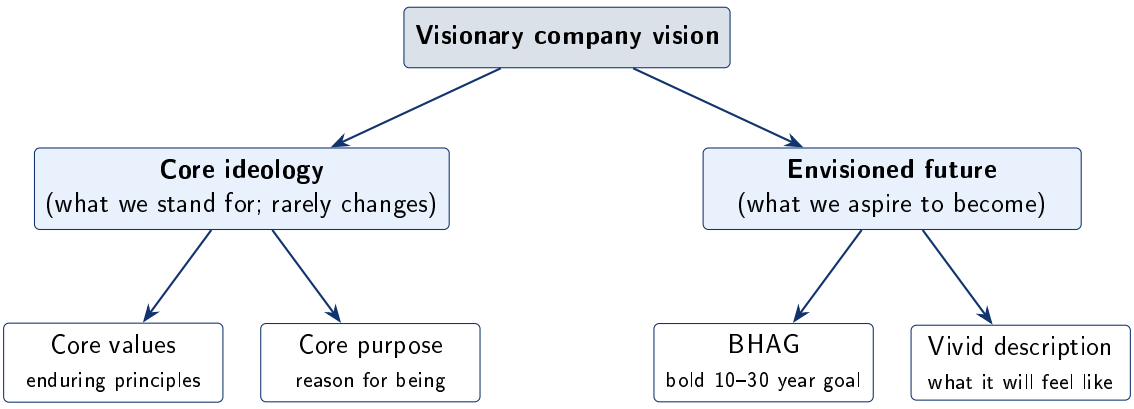


Figure 2: Collins and Porras's framework for vision.

- **Core ideology** — what the organization stands for and why it exists. It has two parts: *core values* (a small set of timeless guiding principles) and *core purpose* (the fundamental reason for existence, beyond making money). Core ideology is to be preserved.
- **Envisioned future** — what the organization aspires to become and achieve. It has two parts: a *BHAG* (Big Hairy Audacious Goal — a bold, clear, 10–30 year target) and a *vivid*

description (vibrant, engaging words that paint a picture of the achievement). Envisioned future requires change and progress.

Preserve the core; stimulate progress

The central message of Collins and Porras is that great organizations *preserve* their core ideology while *stimulating* progress towards the envisioned future. What does not change is the identity; what changes is how the organization expresses and pursues it.

5.3 Characteristics of an effective vision

1. **Future-oriented** — describes tomorrow, not today.
2. **Inspiring and challenging** — motivates people to stretch.
3. **Clear and concise** — easily memorised and communicated.
4. **Realistic yet ambitious** — a dream, not a fantasy.
5. **Consistent with values and mission.**
6. **Shared** — owned by people throughout the organization, not just by the chief executive.
7. **Focused** — gives direction without prescribing details.
8. **Durable** — stable over time, though revised after major change.
9. **Stakeholder-sensitive** — appeals to employees, customers and owners.

5.4 Examples

Visions that were stated in simple, memorable form

- **Early Microsoft** is widely quoted as having aimed at "a computer on every desk and in every home". This is a picture of the future, measurable by the spread of computing, and ambitious for its time.
- **Amazon** describes an aim of being Earth's most customer-centric company, where customers can find and discover anything they might want to buy online (paraphrased). The wording shows how the same phrase can sit in both mission and vision in some companies — always check how your own textbook classifies it.

5.5 Developing a vision

1. The leader or top team forms a first draft after reviewing the environment and the organization's history.
2. Many managers and employees give input; their ideas are fed back so that the vision is shared.
3. The draft is tested against questions: Is it inspiring? Is it possible? Is it consistent with our values?
4. The final statement is communicated repeatedly through speeches, training, advertising and, above all, by leaders' behaviour.
5. Objectives, strategies and rewards are aligned to it.

5.6 Vision versus mission

Basis	Vision	Mission
Key question	What do we want to become?	Why do we exist, and what do we do?
Time focus	Future	Present (with enduring purpose)
Nature	Aspirational, inspiring	Practical, descriptive
Content	Desired future position	Customers, products, markets, philosophy
Purpose	Motivate and give direction	Define business and guide decisions
Change	Rare; changes after major shifts	Reviewed as the business changes
Example	"A computer on every desk"	"To organize the world's information and make it useful"

Table 13: Vision and mission compared.

Exam Tip

Many textbooks differ about which comes first. Most follow the order *vision* → *mission* → *goals* → *objectives* → *strategy*. State the order you are using and give one line of reason: vision sets the destination, mission describes the vehicle and purpose, objectives measure the progress.

5.7 Hierarchy of direction-setting



Figure 3: From vision to action.

6 Goals

6.1 Meaning

A **goal** is a broad statement of what the organization wants to achieve. It turns the vision and mission into concrete aims, but without exact numbers or dates. Goals usually are long-term and qualitative: "become a leader in our industry", "earn customers' trust", "be a good employer".

Definition — Goal

A goal is a broad, generally qualitative, long-term statement of the end that an organization seeks to attain, which provides a direction for setting more precise objectives.

6.2 Characteristics of goals

- Broad and general; they do not give exact numbers.
- Long-term in nature, often open-ended.
- Derived from the mission and vision.
- Qualitative or directional — "increase", "improve", "become".
- Provide the framework within which objectives are set.
- May be difficult to measure directly.
- Should be consistent with one another and with stakeholder interests.

6.3 Types of goals

Classification	Types	Example
By area	Economic (profit, growth, return) and non-economic (social responsibility, employee welfare, quality of life)	"Be a profitable firm" and "contribute to the community"
By time	Long-term and short-term	"Become the market leader"
By level	Corporate, business and functional goals	Group goal of diversification; HR goal of reducing attrition
By stakeholder	Owners (return), customers (value), employees (growth and security), society (responsible behaviour)	—

Table 14: Ways of classifying goals.

6.4 Where goals come from: the coalition view

Richard Cyert and James March, in their behavioural theory of the firm (1963), argued that an organization is a *coalition* of individuals and groups — shareholders, managers, employees,

customers, suppliers — each with its own aims. Organizational goals are not decided by one person but are the result of bargaining among them. This explains why organizations may hold goals that partly conflict (low prices for customers but high profit for shareholders), and why managers must prioritise, sequence or find solutions that satisfy several groups at once.

6.5 Goal conflict and its handling

- **Rank** goals and decide which takes priority in a conflict.
- **Sequence** them: pursue one this year and another next year.
- **Set acceptable levels** ("satisficing") rather than maximising every goal.
- **Redefine** the goal so that it is possible to serve both (for example, invest in training to improve both quality and employee satisfaction).

6.6 Importance of goals

Goals give direction, serve as the base for objectives, provide a basis for measuring performance, help coordinate efforts, influence the behaviour of managers and are a source of motivation.

6.7 Goal versus objective

Basis	Goal	Objective
Nature	Broad, general, directional	Specific, precise, quantified
Time	Usually long term, open-ended	Has a fixed deadline
Measurement	Often qualitative	Measurable
Derived from	Vision and mission	Goals
Flexibility	Stable	Reviewed as results come in
Example	"Be a leader in customer service"	"Raise customer satisfaction score from 78 to 85 by March 2028"

Table 15: Goals and objectives compared.

Textbooks disagree

Some authors (for example Pearce and Robinson in some editions) use the terms "goal" and "objective" interchangeably or even in reverse order. If your teacher's textbook defines them differently, follow the textbook but mention the distinction in your answer. Writing "in most textbooks, goals are broad and objectives are specific" is a safe opening line.

7 Objectives

7.1 Meaning

Objectives are the specific, measurable results an organization wants to achieve within a given time. They convert the broad goals into targets that can be pursued, measured and checked.

Definition — Objective

An objective is a specific, measurable end result that an organization seeks to achieve within a stated period of time, in support of its goals and mission.

7.2 Characteristics of good objectives

- Specific and clear.
- Measurable — preferably in numbers.
- Time-bound.
- Challenging but achievable.
- Consistent with other objectives and with the mission.
- Understood and accepted by those responsible.
- Flexible enough to be revised if circumstances change.
- Aimed at *results*, not at activities.

7.3 SMART objectives

Letter	Meaning	Test question
S	Specific	Is it clear exactly what is to be achieved?
M	Measurable	How will we know when it has been achieved?
A	Achievable	Can it be done with our resources and ability?
R	Relevant (or Realistic)	Does it support our mission and goals?
T	Time-bound	By when?

Table 16: SMART criteria (versions of the letters vary slightly between textbooks).

From vague to SMART

Vague: "We want to grow."
SMART: "Increase revenue from the cloud-services division by 20% over the next financial year, from Rs. 50 crore to Rs. 60 crore."

7.4 Types of objectives

By time: long-term objectives (typically three to five years) and short-term objectives (up to one year). Short-term objectives are the milestones that lead to the long-term ones.

By nature: financial objectives and strategic objectives.

	Financial objectives	Strategic objectives
Concern	Financial performance	Competitive position and market strength
Examples	Revenue growth, profit margin, return on investment, earnings per share, cash flow	Increase market share, improve product quality, build brand strength, reach new markets, be technological leader
Why needed	Satisfy owners and lenders; ensure survival	Improve long-term competitiveness; prepare the ground for future profit

Table 17: Financial and strategic objectives.

7.5 Key result areas (Drucker)

Peter Drucker said that objectives should be set in all areas on which the survival and prosperity of the firm depend. He proposed eight key areas:

1. Market standing
2. Innovation
3. Productivity
4. Physical and financial resources
5. Profitability
6. Manager performance and development
7. Worker performance and attitude
8. Public responsibility

His main warning was against a single objective such as profit alone: it leads managers to sacrifice the future (cutting research and training) to improve this year's numbers.

7.6 The balanced scorecard

Robert Kaplan and David Norton (1992) developed the **balanced scorecard** to ensure that objectives are not only financial. It translates strategy into objectives and measures in four perspectives.

7.7 Hierarchy and cascading of objectives

Objectives form a hierarchy. Corporate objectives are broken into business-unit objectives, which are broken into functional and then departmental and individual objectives. Each level should *support* the one above it. When this cascade is organised as a management process, with managers and subordinates jointly setting and reviewing objectives, it is called **management by objectives (MBO)**.

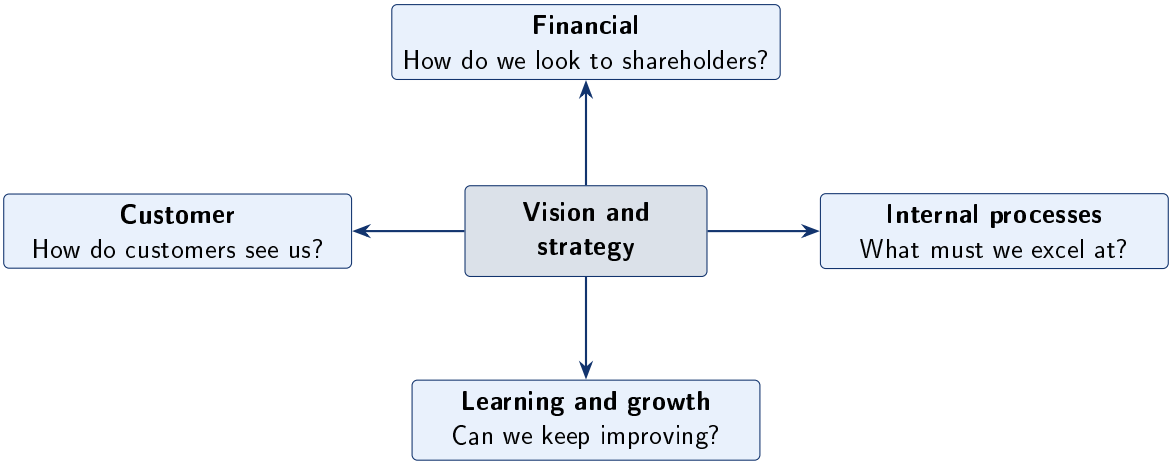


Figure 4: The four perspectives of the balanced scorecard.

Perspective	Example objective	Example measure
Financial	Increase profitability	Return on investment, revenue growth
Customer	Improve satisfaction and loyalty	Customer satisfaction index, repeat purchase rate
Internal business process	Reduce delivery time and defects	Cycle time, defect rate
Learning and growth	Develop employee skills and innovation	Training hours, number of new ideas implemented

Table 18: Balanced scorecard illustrated.

7.8 Illustration — from vision to objectives

EduSoft: a fictional example to link all four ideas

Vision: Be the most trusted learning-software company in South Asia.
Mission: We build affordable, easy-to-use learning software for schools and colleges so that every student can learn at their own pace.
Goals: (1) Become a market leader in college-level software. (2) Build a reputation for reliability and service. (3) Be an attractive employer.
Objectives: (1) Reach 500 partner institutions by March 2029 (from 120 today). (2) Keep system uptime above 99.5% every quarter. (3) Reduce annual staff attrition from 18% to 12% within two years.
Strategy: Offer a free pilot term; build a partner network in tier-2 cities; invest in cloud reliability and in training programmes.

7.9 Problems in setting objectives

- **Too many objectives** — the organization loses focus.
- **Conflicting objectives** — growth against profit, short-term against long-term.

- **Unrealistic objectives** — demotivate and lead to cheating.
- **Objectives that are only financial** — lead to short-term thinking.
- **Measurement problems** — what gets measured gets done; what cannot be measured may be ignored.
- **Rigidity** — continuing to chase objectives that no longer fit changed conditions.

Exam Tip

Examiners frequently ask for a *difference between mission, vision, goals and objectives*. Draw one combined table with the rows: meaning, time, nature, example, and add the hierarchy figure. This single answer can fetch full marks for any of the four sub-topics.

8 Defining and Explaining Strategy

8.1 Definitions by leading thinkers

There is no single accepted definition. Each thinker emphasises a different feature. The table below groups the most-quoted views; in an exam, quote two or three and then give your own synthesis.

Thinker	View of strategy (paraphrased)
Alfred Chandler (1962)	The determination of the basic long-term goals and objectives of an enterprise, and the adoption of courses of action and allocation of resources necessary to carry out these goals.
Kenneth Andrews	A pattern of decisions in a company that determines and reveals its objectives, purposes or goals, produces the principal policies and plans for achieving those goals, and defines the range of businesses the company is to pursue.
Igor Ansoff (1965)	A "common thread" running through the organization's activities and its product-markets, defined by four components: scope, growth vector, competitive advantage and synergy.
Hofer and Schendel (1978)	The fundamental pattern of present and planned resource deployments and environmental interactions that indicates how the organization will achieve its objectives.
William Glueck	A unified, comprehensive and integrated plan designed to ensure that the basic objectives of the enterprise are achieved.
Henry Mintzberg (1987)	Five definitions: plan, ploy, pattern, position and perspective.
Michael Porter (1996)	The creation of a unique and valuable position involving a different set of activities; it requires choosing what *not* to do and fitting activities together.
Hamel and Prahalad (1989)	Strategy as "stretch" — a gap between ambition and resources that forces creative use of resources; related to the idea of strategic intent.
Richard Rumelt (2011)	A coherent response to the most important challenge facing the organization, built on a diagnosis, a guiding policy and coherent actions.

Table 19: Definitions of strategy.

A synthesised definition for answers

Strategy is a comprehensive, long-term pattern of decisions and actions, formulated by top management, that matches the organization's resources and capabilities to the opportunities and threats of its environment so as to achieve its objectives and gain a sustainable competitive advantage.

8.2 Explaining Ansoff's four components

Ansoff (1965) said strategy is a common thread; this thread has four strands.

Component	Meaning	Illustration
Product-market scope	The industries and markets in which the firm competes	A bank focusing on retail customers in India
Growth vector	Direction in which the firm is growing, shown in the product–mission matrix	Existing product in existing market (penetration), new product, new market, or both (diversification)
Competitive advantage	The special strengths of products or markets that give a strong competitive position	Strong brand; lowest cost; unique technology
Synergy	The combined effect that is greater than the sum of the parts ("2 + 2 = 5")	Shared distribution network across product lines

Table 20: Ansoff's components of strategy.

Ansoff's product–market matrix (growth vectors)

	Existing products	New products
Existing markets	**Market penetration**: sell more of the same to the same customers (lower price, more promotion).	**Product development**: new or improved products for current customers.
New markets	**Market development**: take current products to new segments or regions.	**Diversification**: new products for new markets; the riskiest option.

Table 21: Ansoff's matrix.

8.3 Porter's view: strategy is not operational effectiveness

Porter's article "What Is Strategy?" (1996) makes four points that examiners like.

1. **Operational effectiveness is not strategy.** Doing the same things as rivals but better (benchmarking, quality programmes) is necessary, but rivals can copy it; competition then becomes a race with no winner and profits fall.
2. **Strategy is about being different.** It means deliberately choosing a different set of activities to deliver a unique mix of value.
3. **Strategy requires trade-offs.** A company must choose what *not* to do. Trying to be everything to everyone leads to being "stuck in the middle".
4. **Fit locks in advantage.** When activities reinforce one another, a rival has to copy the whole system, not a single feature, which is much harder.

8.4 Hamel and Prahalad: strategic intent and stretch

- **Strategic intent** is a long-term ambition that is so clear and focused that it pulls the whole organization in one direction for ten years or more (for example, Komatsu's "encircle Caterpillar" or Canon's "beat Xerox").
- **Stretch** means setting aims that exceed current resources, forcing the organization to find new ways — instead of the traditional approach, which matches ambition to available resources.
- **Leverage** means using resources more cleverly: concentrating them, accumulating them, complementing them, conserving them and recovering them quickly.

8.5 Rumelt's kernel of good strategy

Part of kernel	What it means
Diagnosis	A clear explanation of the nature of the challenge; it simplifies a complex reality by identifying the critical issue.
Guiding policy	An overall approach chosen to deal with the challenge; it rules some actions in and others out.
Coherent actions	Steps that are coordinated with one another so that they support the guiding policy.

Table 22: Rumelt's good-strategy kernel.

8.6 Tests of a good strategy

Textbook writers (for example Thompson and Strickland) suggest three tests:

1. **Goodness-of-fit test** — does it fit the firm's external situation, resources and objectives?
2. **Competitive-advantage test** — does it help build or maintain a sustainable advantage?
3. **Performance test** — does it produce good financial and strategic results?

8.7 Strategy at a glance — the elements

Strategy = Direction + Scope + Advantage + Resources + Fit

Direction: where is the organization heading?
Scope: which businesses, customers and markets?
Advantage: what will make customers choose us?
Resources: what capabilities and assets are needed?
Fit: do activities match one another and the environment?

Reliance Jio as a strategy illustration

When Jio launched commercial services in September 2016, it entered the Indian telecom market with an all-IP 4G network, very low data prices and a free introductory offer. In terms of our vocabulary: the *scope* was data-led mobile services; the *advantage* was low

data cost from a new network; the *resource commitment* was a very large, hard-to-reverse investment; and the *effect* was to reshape the industry's pricing. This shows a strategic decision: long-term, expensive, organisation-wide and competitor-changing.

9 Levels at Which Strategy Operates

9.1 Why levels?

Large organizations have many businesses and many functions. One strategy cannot do all the work. So strategy is made at several **levels**, each with its own question and its own decision makers. The three classic levels are **corporate**, **business** and **functional**; some authors add an **operational** level beneath.

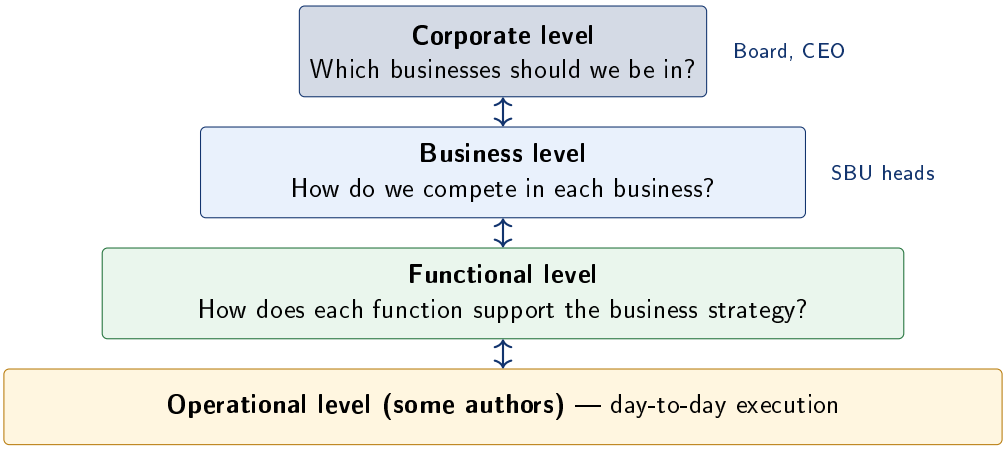


Figure 5: Levels of strategy. Arrows run both ways: direction flows down, information and feedback flow up.

9.2 Corporate-level strategy

Concern: the overall scope and direction of the whole organization, especially a *multi-business* one. **Question:** *In which businesses should we compete, and how should the whole portfolio be managed?*

Who decides: board of directors, CEO and top management team.

Typical decisions:

- Which industries to enter, remain in or leave (portfolio choice).
- Allocation of financial and human resources among businesses.
- Growth, stability or retrenchment (the "grand strategies").
- Mergers, acquisitions, joint ventures and alliances.
- Diversification and vertical integration.
- International expansion.
- Corporate structure, governance and culture.
- Creating synergy between businesses — the "parenting" role.

Grand (corporate) strategies in brief:

Grand strategy	Meaning	Typical forms
Stability	Maintain present business and market position; no major change	Pause, proceed-with-caution, no-change
Growth (expansion)	Increase scale or scope	Concentration (penetration, market and product development); integration (forward, backward, horizontal); diversification (related and unrelated); mergers, acquisitions, joint ventures
Retrenchment	Reduce operations or exit	Turnaround, divestment, liquidation
Combination	Different strategies in different businesses or at different times	e.g. grow one division while divesting another

Table 23: Grand strategies (to be studied in detail in later modules).

9.3 Business-level strategy

Concern: how a single business unit competes in its particular market. For a single-business firm, corporate and business strategy are the same. **Question:** *How can we compete successfully, and why will customers prefer us?* **Who decides:** SBU or divisional heads (with corporate approval).

Typical decisions: choice of target customers, positioning, pricing, quality, product range, responses to competitors, and competitive advantage.

Porter's generic strategies

Strategy	Idea	Needs / example
Cost leadership	Become the lowest-cost producer in the industry and price accordingly or enjoy high margins.	Economies of scale, tight cost control; budget airlines, discount retailers.
Differentiation	Offer something unique that customers value and will pay a premium for.	Brand, design, technology, service; premium smartphones.
Focus (cost or differentiation)	Serve a narrow segment better than broad competitors.	Specialist products for a niche, e.g. organic baby food.

Table 24: Porter's generic business strategies.

Porter warned that a business that fails to choose is "stuck in the middle" and earns poor returns.

9.4 Functional-level strategy

Concern: how each functional area contributes to business strategy. **Question:** *What must this function do to deliver the business strategy?* **Who decides:** functional heads (marketing, finance, operations, HR, R&D, IT).

Function	Sample functional strategy decisions
Marketing	Segmentation, targeting, pricing, distribution, promotion, branding.
Finance	Capital structure, raising funds, dividend policy, investment appraisal, working capital.
Operations / production	Plant location, capacity, make or buy, quality systems, supply chain, automation.
Human resources	Recruitment, training, compensation, performance management, culture.
Research and development	Choosing technologies, speed of innovation, balance between product and process research.
Information technology	Systems architecture, security, data and analytics, digital platforms.

Table 25: Examples of functional strategies.

9.5 Operational level

Some authors recognise a fourth level — operational strategies — that cover day-to-day execution within departments, such as a regional sales plan or a weekly production schedule. They are short term, detailed and usually the responsibility of first-line managers.

9.6 Comparison of levels

9.7 How the levels link together

Strategy cascades *downwards*: corporate strategy sets the frame; business strategies must fit it; functional strategies must support business strategies. Information and proposals travel *upwards*: functional managers know what is practical and feed this back. Problems arise when:

- business units pursue their own interests and ignore the group's interest (sub-optimisation);
- functional strategies conflict (marketing promises quick delivery that operations cannot provide);
- corporate managers are too remote from the market to judge a business strategy properly.

A diversified group: the three levels together

Consider a diversified Indian business group with interests in steel, IT services, vehicles and hotels (the Tata group is a familiar example).
Corporate level: decide which sectors to enter or leave, how to support new ventures with group funds, and how to protect the group's brand and values.

Basis	Corporate	Business	Functional
Main question	Which businesses?	How to compete?	How to support?
Scope	Entire organization	One SBU or product-market	One function
Decision makers	Board, CEO, top team	SBU heads	Functional heads
Time horizon	Longest	Medium to long	Short to medium
Risk and uncertainty	Highest	Moderate	Lower
Resource commitment	Very large	Large	Smaller
Nature	Conceptual, value-based	Competitive, market-focused	Specific, operational, detailed
Examples	Diversify into new industries	Cost leadership in cement business	Launch a new HR training programme

Table 26: Corporate, business and functional strategies compared.

Business level (e.g. the IT services company): choose to differentiate through domain expertise and quality, and decide which client segments to serve.
Functional level (e.g. HR in the IT company): design recruitment and training so that engineers have the skills the business strategy needs.

Exam Tip

When asked for "levels of strategy", draw the pyramid figure, give a short definition, the question each level answers, who decides, and one example each. A comparison table at the end often adds marks.

10 Strategic Decision Making

10.1 What is a strategic decision?

A **decision** is a choice among alternative courses of action. A **strategic decision** is a choice that decides the long-term direction of the organization and the way it uses its major resources. Examples: entering a new country, acquiring a competitor, launching a new technology platform, closing a division, changing the business model.

Definition — Strategic Decision

A strategic decision is a major, non-routine choice, made mainly by top management, that commits substantial resources over the long term, affects the overall direction and competitive position of the organization, and is difficult to reverse.

10.2 Types of decisions in an organization (Ansoff)

Type	Strategic	Administrative (tactical)	Operating
Concern	Relation of the firm to its environment: which products, which markets	Structuring resources: organization, resource acquisition	Day-to-day running: pricing, scheduling, supervision
Level	Top management	Middle management	Lower management
Example	Enter the electric-vehicle market	Set up a new regional distribution structure	Decide this week's production schedule

Table 27: Ansoff's three classes of decisions.

10.3 Characteristics of strategic decisions

1. **Long-term impact** — consequences continue for years.
2. **Major resource commitment** — money, people, technology.
3. **Difficult to reverse** — high "switching" cost; you cannot easily undo a factory or an acquisition.
4. **Organization-wide implications** — affect many functions and levels.
5. **High uncertainty and risk** — the future cannot be predicted well.
6. **Made at top level** — by the board, CEO or top management team.
7. **Non-routine and unstructured** — no ready-made rule or past pattern; judgement matters.
8. **Based on outside information** — environmental scanning and competitor analysis feed these decisions.
9. **Multi-functional and value-laden** — involve conflicting interests and the values of decision makers.
10. **Concerned with the match between organization and environment.**

10.4 Strategic versus operational decisions

Basis	Strategic decisions	Operational decisions
Nature	Non-routine, unstructured	Routine, structured
Time horizon	Long	Short
Impact	Whole organization	A department or task
Resource commitment	Large	Small
Reversibility	Difficult	Easy
Information	External, incomplete, uncertain	Internal, adequate, certain
Decision makers	Top management	Middle and lower management
Risk	High	Low
Example	Diversifying into a new industry	Hiring a clerk

Table 28: Strategic and operational decisions compared.

10.5 Who makes strategic decisions?

- **Board of directors** — approve major strategies, oversee management, represent owners.
- **Chief executive officer** — the principal strategist; shapes the agenda and is accountable.
- **Top management team** — functional heads who bring specialist knowledge and must carry out the decision.
- **Strategic planning staff** — gather data, run analyses, coordinate the process.
- **Business-unit and middle managers** — provide market information, propose initiatives, translate strategy into action; many emergent strategies start here.
- **Outside advisers** — consultants, investment bankers, regulators and sometimes large shareholders.

10.6 Modes of strategic decision making (Mintzberg)

Mintzberg (1973) described three modes in which organizations make strategy.

10.7 Approaches to making decisions

The rational model

The ideal model assumes the decision maker defines the problem clearly, knows all alternatives and consequences, ranks them according to stable preferences and chooses the *optimal* one. This is the basis of formal strategic planning.

Mode	Description	Typical setting
Entrepreneurial	One powerful leader acts boldly in pursuit of opportunity; strategy is the leader's vision; big, bold, risk-taking moves.	Small or young firms; turnaround under a strong leader.
Adaptive ("muddling through")	Reactive, step-by-step solutions to problems; no clear overall goals; incremental changes.	Large, complex organizations with many power centres, e.g. government departments, universities.
Planning	Systematic gathering of information, analysis of alternatives, and formal selection; heavy use of staff and procedures.	Large, stable firms with resources and predictable environments.

Table 29: Mintzberg's three modes.

Bounded rationality and satisficing (Herbert Simon)

Human beings have limited information, time and brainpower. Instead of finding the best option, managers search until they find one that is *good enough* — they **satisfice**. This is not laziness; it is the reasonable response to limits on knowledge and computation.

Incrementalism

- **Lindblom (1959), "muddling through"** — policy is made through small steps and comparisons with the present situation, not through grand design.
- **Quinn (1980), "logical incrementalism"** — effective executives deliberately move in small steps, test, learn, build consensus and keep the strategy flexible, while keeping the general direction in mind.

Political and behavioural approaches

Strategic decisions result from bargaining among managers and coalitions with different interests (Cyert and March). Power, negotiation and compromise therefore shape outcomes.

Garbage-can model

In loosely organised organizations, problems, solutions, participants and choice opportunities flow independently and may combine by chance: sometimes a solution looks for a problem. It explains decisions that seem irrational.

10.8 Steps in the strategic decision-making process

1. **Identify the problem or opportunity** — recognise the need for a decision (falling sales, new technology, new competitor).
2. **Set the decision criteria and objectives** — what must the decision achieve? (profit, risk limit, fit with mission).

Approach	Core idea	Strength / weakness
Rational	Choose the optimum after full analysis	Logical and clear; unrealistic about information and time
Bounded rationality	Choose the first satisfactory option	Realistic; may settle for less than best
Incremental	Small steps and learning	Flexible, lower risk; may lack direction or drift
Political	Outcomes from bargaining	Explains reality; may favour power over merit
Garbage-can	Chance meeting of problems and solutions	Explains chaos; not a practical method

Table 30: Approaches to decision making compared.

3. **Collect and analyse information** — internal and external data.
4. **Develop alternatives** — generate several real options, including "do nothing".
5. **Evaluate the alternatives** — by suitability, feasibility, acceptability and risk.
6. **Choose the best alternative** — may be a compromise among several.
7. **Implement the decision** — translate into plans, budgets and responsibilities.
8. **Monitor and evaluate results** — feedback; revise or reverse if needed.

Evaluating options: Johnson and Scholes's three tests

Suitability — does it fit the situation and the objectives?
Feasibility — can we actually do it with our resources and capabilities?
Acceptability — will stakeholders (owners, employees, customers, society) accept the outcome and the risk?

10.9 Tools commonly used to support strategic decisions

SWOT analysis, PESTEL analysis, Porter's five forces, value-chain analysis, BCG growth–share matrix, GE/McKinsey matrix, Ansoff matrix, scenario planning, financial appraisal (NPV, IRR, break-even), decision trees and the balanced scorecard. Each is studied in detail in later modules.

10.10 Problems and biases in strategic decisions

Ways to improve decision quality: encourage a "devil's advocate", use diverse teams, set decision criteria before looking at options, seek external views, run scenarios, set stop-loss rules for projects, and review past decisions to learn.

Exam Tip

Link strategic decision making to the earlier topics: "Decisions are guided by the objectives, constrained by the mission and are the means by which strategy is formulated and

Bias or problem	Meaning and consequence
Groupthink	A cohesive top team seeks agreement and suppresses dissent; poor alternatives go unexamined.
Escalation of commitment	Continuing to invest in a failing course because of past investment ("sunk cost").
Overconfidence	Managers overestimate their knowledge, forecasts and control; leads to underestimation of risk.
Anchoring	Over-reliance on the first information received (an initial estimate).
Confirmation bias	Seeking only evidence that supports one's preferred option.
Hubris and empire-building	Acquisitions made to increase the manager's own power rather than shareholder value.
Short-termism	Choosing options that look good in the next quarter at the expense of long-term health.
Information overload or lack	Too much data hides what matters; too little leaves guesswork.

Table 31: Common pitfalls in strategic decision making.

implemented." This one sentence shows the examiner you understand the whole module.

11 The Process of Strategic Management

11.1 An overview

Strategic management is a *process*: a series of connected activities that repeat. Authors present slightly different models, but they all share five core ideas: set direction, analyse the situation, choose strategy, put it into action and check the results.

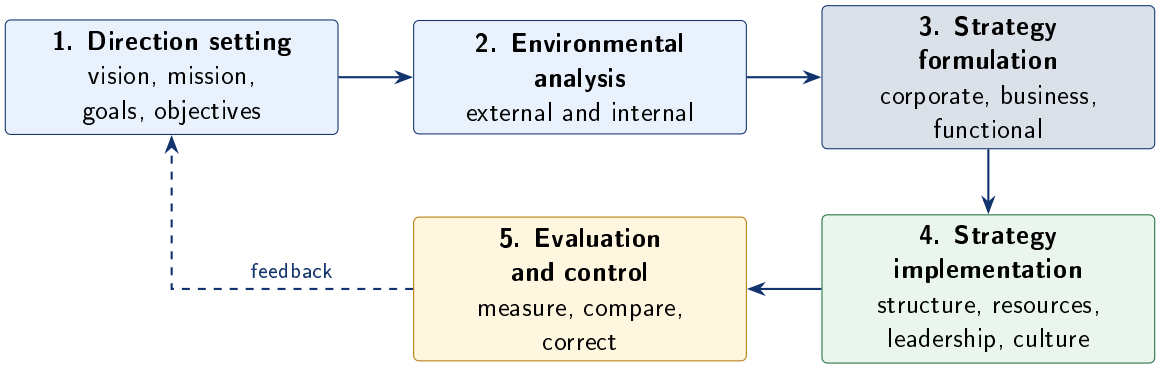


Figure 6: The strategic management process. The dashed line shows that evaluation feeds back into every earlier step.

11.2 Stage 1: Setting strategic direction (strategic intent)

The organization defines or reviews:

- **Vision** — the future it aspires to;
- **Mission** — its purpose, customers and scope;
- **Goals and objectives** — what it wants to achieve and by when;
- **Values and ethics** — the principles that bound strategic choice.

Output: A clear statement of direction that guides all later steps. For an established firm this stage is a *review*; for a start-up it is a creation.

11.3 Stage 2: Environmental analysis (scanning)

External analysis looks for *opportunities* and *threats*:

Level of environment	What is examined (tools)
General (macro) environment	Political, Economic, Social, Technological, Environmental and Legal forces (**PESTEL**). Example: data-protection law, interest rates, remote-work trends.
Industry (competitive) environment	Rivalry, threat of new entrants, threat of substitutes, bargaining power of buyers and suppliers (**Porter's five forces**); competitor analysis; strategic groups.

Table 32: External analysis.

Internal analysis looks for *strengths* and *weaknesses*: resources (physical, financial, human, technological, intangible), capabilities, core competences, the value chain, functional performance, culture and structure.

Synthesis: SWOT. The findings are combined in a SWOT analysis:

	Helpful	Harmful
Internal	**Strengths** — what we do well; resources and skills that give an advantage	**Weaknesses** — where we are poor or lack resources
External	**Opportunities** — favourable trends we could exploit	**Threats** — unfavourable trends that could hurt us

Table 33: The SWOT grid.

Output: A clear, honest picture of where the organization stands and which issues matter most (the "strategic issues").

11.4 Stage 3: Strategy formulation

Using the direction and the analysis, managers:

1. **Generate alternatives** at each level — corporate (growth, stability, retrenchment), business (cost leadership, differentiation, focus) and functional strategies.
2. **Evaluate** alternatives by suitability, feasibility, acceptability and risk, and by how well they build on strengths and correct weaknesses while exploiting opportunities and countering threats.
3. **Choose** the strategy (or a combination) and define its details.
4. **Prepare contingency plans** — "what if the assumptions are wrong?"

Output: A set of strategies for corporate, business and functional levels, approved by the board.

11.5 Stage 4: Strategy implementation

Strategy is carried out through:

Area	What management does
Structure	Design or change the organization structure so that it supports the strategy (structure follows strategy).
Resource allocation	Provide budgets, people, technology and time to strategic priorities.
Plans, programmes, budgets, procedures	Convert strategy into action plans with owners, deadlines and money; set rules for routine work.
Leadership	Communicate the strategy, build commitment and manage resistance.
Culture	Align values and behaviours with strategy; change the culture if it blocks the strategy.
Systems and policies	Information, reward and control systems that reinforce desired behaviour.
Functional strategies	Marketing, finance, HR, operations and R&D adopt plans that support the business strategy.

Table 34: Areas of strategy implementation.

Implementation is where most strategies fail

A brilliant strategy that people do not understand, that lacks resources or that clashes with the culture will not succeed. Always give implementation at least as much space as formulation in your answer.

11.6 Stage 5: Strategy evaluation and control

1. **Establish standards and measures** — link to objectives and key performance indicators.
2. **Measure actual performance** — using reports, dashboards, balanced scorecard and audits.
3. **Compare performance with standards** — identify variances.
4. **Analyse the reasons** — was the strategy wrong, the implementation weak, or did the environment change?
5. **Take corrective action** — adjust implementation, revise objectives or change the strategy; this feeds back into stages 1 to 4.

Three checks in evaluation (as set out in Fred David's model): Are the *internal* strengths and weaknesses still the same? Have *external* opportunities and threats changed? Are we *achieving* our objectives? If any answer is "yes" (changed) or "no" (not achieving), corrective action is needed.

11.7 Other models of the process

Author	Steps proposed
Hill and Jones	(1) Select corporate mission and major goals; (2) analyse the external environment for opportunities and threats; (3) analyse the internal environment for strengths and weaknesses; (4) select strategies that build on strengths and correct weaknesses (SWOT); (5) implement the strategies.
Fred David	Three stages: formulation (vision and mission, external audit, internal audit, long-term objectives, alternative strategies, strategy choice), implementation (annual objectives, policies, resource allocation) and evaluation (review, measure, take corrective action).
Thompson and Strickland	Five tasks: develop a strategic vision, mission and values; set objectives; craft a strategy; implement and execute the strategy; evaluate performance and initiate corrective adjustments.

Table 35: Variants of the strategic management process.

All models say the same thing

Different authors use different labels, but every model contains: **(1) direction, (2) analysis, (3) choice, (4) action, (5) review**. In an exam you may safely present one model and mention that others differ only in naming and detail.

11.8 Features of the process

- **Continuous** — never really finished.
- **Cyclical and iterative** — stages overlap and feed back; you may return to analysis after implementation reveals new facts.
- **Top-management led but participative** — involvement of middle and lower managers

improves quality and commitment.

- **Dynamic** — responds to changes in the environment.
- **Integrative** — links all functions and levels.
- **Both deliberate and emergent** — leaves space for learning.

11.9 Benefits and difficulties of the formal process

Benefits	Difficulties
Systematic, thorough analysis	Time-consuming and costly
Clear direction and focus	Can become bureaucratic and rigid
Better coordination across functions	Difficult to forecast a changing environment
Basis for control and accountability	Planning can be done by planners remote from operations
Improved communication and commitment	Resistance to change

Table 36: Benefits and difficulties of a formal process.

11.10 Worked illustration: the process at EduSoft

EduSoft revisited — one pass through the cycle

1. Direction: Vision: most trusted learning software in South Asia; objective: 500 partner colleges by 2029.
2. Analysis: *Opportunities:* rising demand for blended learning; *threats:* free tools from big technology firms; *strengths:* affordable pricing, good support team; *weaknesses:* small sales force, limited brand awareness.
3. Formulation: Corporate: concentrate on education software (no unrelated diversification); business: differentiate on reliability and support at low cost; functional: marketing builds referral programme, HR hires sales trainees, operations moves to cloud hosting.
4. Implementation: New regional sales structure, budget allocated to cloud migration, quarterly targets set, training for staff, communication from the CEO.
5. Evaluation: After six months only 70 new colleges signed against target 100. Analysis shows slow response times from the sales team. Corrective action: add inside-sales staff and revise the sales target schedule. The cycle begins again.

11.11 Strategic management process and the topics of this module

Topic in Module 1	Where it fits in the process
Vision, mission, goals, objectives	Stage 1 — direction setting.
Understanding and defining strategy	The *output* of Stage 3; also the concept running through the whole process.
Levels of strategy	Stage 3 — formulation at corporate, business and functional levels.
Strategic decision making	Used at every stage, especially stages 3 and 5.
Scope and importance	Explains why the process is needed.

Table 37: Module 1 topics mapped to the process.

12 Exam Toolkit and Quick Revision

12.1 One-page revision map

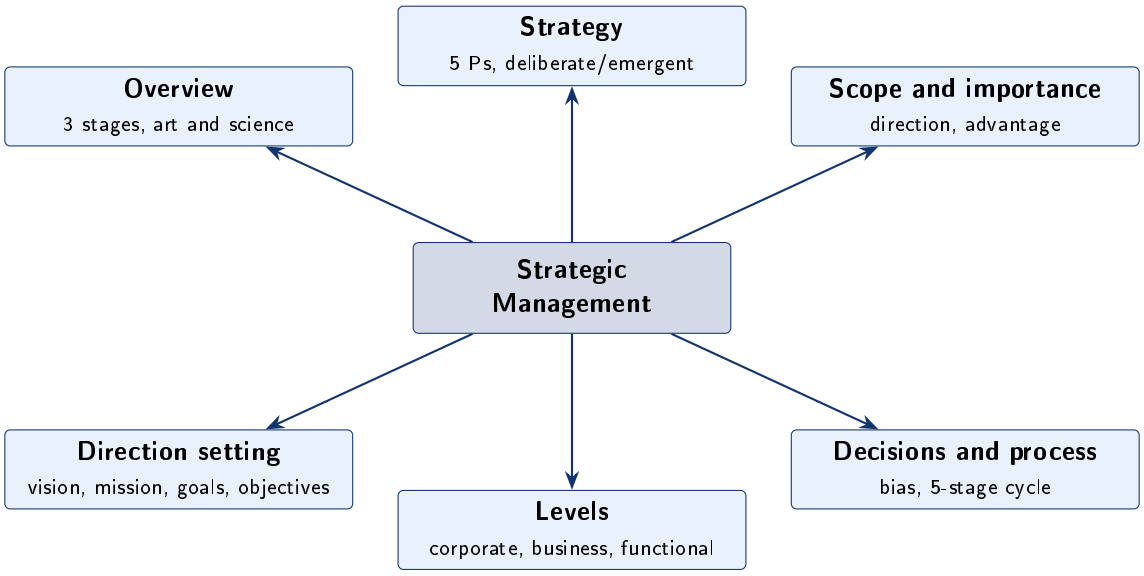


Figure 7: Module 1 at a glance.

12.2 Glossary of key terms

12.3 Likely questions and how to answer them

The pattern below is typical for university papers: short answers of two to five marks and long answers of eight to fifteen marks. Check your syllabus and past papers for the exact scheme.

Short answers (2–5 marks)

1. Define strategic management. *[2–3 marks]*
   Use the David definition plus the simple form; mention three stages.
2. What is meant by strategy? Explain two features. *[3–5 marks]*
   Use a thinker's definition and two features such as long-term and competitive advantage.
3. Distinguish between mission and vision. *[3–5 marks]*
   Use the table in Section 5.
4. Distinguish between goals and objectives. *[3–5 marks]*
   Use the table in Section 6; add SMART example.
5. What are SMART objectives? *[3 marks]*
   Five letters, one example each.
6. What are Mintzberg's five Ps? *[5 marks]*
   Plan, ploy, pattern, position, perspective — one example each.
7. Explain the three levels of strategy. *[5 marks]*
   Pyramid figure, question, decision makers.
8. What is a strategic decision? State its characteristics. *[5 marks]*
   Definition plus five or six features.

9. Differentiate between strategic and operational decisions. *[5 marks]*
   Table with six rows.
10. What is environmental scanning? *[3 marks]*
    Definition, PESTEL, five forces in one line each.
11. What is emergent strategy? *[3 marks]*
    Definition and the Honda example.
12. Define core competence and competitive advantage. *[3 marks]*

Long answers (8–15 marks)

1. "Strategic management is an art as well as a science." Discuss; explain the three stages of the process. *[10 marks]*
2. Explain the nature, scope and importance of strategic management. *[10 marks]*
3. What is mission? Discuss its characteristics and components, and distinguish it from vision. *[10 marks]*
4. Explain the hierarchy of vision, mission, goals and objectives with an example. *[10 marks]*
5. Define strategy. Discuss various definitions and the characteristics of strategy. *[10 marks]*
6. Discuss Mintzberg's five Ps and the concept of deliberate and emergent strategy. *[10 marks]*
7. Explain the levels at which strategy operates, with examples. How are they linked? *[10 marks]*
8. Discuss the nature and types of strategic decisions. How do biases affect them? *[10 marks]*
9. Describe the strategic management process with a suitable diagram. *[10–15 marks]*
10. Compare the rational and incremental approaches to strategic decision making. *[8 marks]*
11. Critically evaluate the benefits and limitations of strategic management. *[8 marks]*

12.4 Answer-writing recipe for long questions

1. **Open with a definition** (one thinker, one line).
2. **Give the structure**: "The topic has four parts: . . . ".
3. **Explain each part** in two to three lines with an example.
4. **Add a diagram or table**: examiners remember them.
5. **Close with a link or evaluation**: one sentence connecting to the process or noting a limitation.

12.5 Most-confused pairs

12.6 Memory aids

Mnemonics

Order of direction-setting: Very **M**ighty **G**ods **O**ften **S**ee **A**ction — *Vision, Mission, Goals, Objectives, Strategy, Action.*

Five Ps: Plan, **P**loy, **P**attern, **P**osition, **P**erspective.

Process: Do **A**ll **F**ive **I**mportant **E**ssentials — *Direction, Analysis, Formulation, Implementation, Evaluation.*

SMART: Specific, Measurable, Achievable, Relevant, Time-bound.

Ansoff's four strands: Scope, **G**rowth vector, **C**ompetitive advantage, **S**ynergy.

Balanced scorecard: Financial, **C**ustomer, **I**nternal process, **L**earning.

12.7 Final checklist before the exam

- ☐ I can define strategic management and strategy in two ways each.
- ☐ I can write the three stages and the five-stage process and draw the diagram.
- ☐ I know the difference between vision, mission, goals and objectives with a worked example.
- ☐ I can list David's nine mission components.
- ☐ I can explain the five Ps and the deliberate/emergent idea.
- ☐ I can describe corporate, business and functional strategies with decision makers and examples.
- ☐ I know at least six characteristics of strategic decisions and three decision-making modes.
- ☐ I can name three biases and say how to reduce them.
- ☐ I have two real-world examples ready (for instance Netflix and Kodak).

Term	One-line meaning
Strategy	Long-term pattern of choices that fits resources to the environment to win.
Strategic management	Formulating, implementing and evaluating cross-functional decisions to achieve objectives.
Vision	Picture of the desired future.
Mission	Purpose, customers and scope of the business today.
Goal	Broad, long-term, mostly qualitative aim.
Objective	Specific, measurable, time-bound target.
Policy	Standing guideline for decisions.
Tactic	Short-term action implementing strategy.
Strategic intent	Ambitious long-term aim that focuses the organization.
BHAG	Big Hairy Audacious Goal (Collins and Porras).
Core competence	Collective skill that is valuable, rare, hard to imitate.
Competitive advantage	Superior position relative to rivals.
Strategic fit	Match between organization, environment and among activities.
SBU	Strategic business unit with its own market and strategy.
Emergent strategy	Patterns that form through action without prior plan.
Satisficing	Choosing the first satisfactory option (Simon).
Groupthink	Pressure for agreement that stifles dissent.
Balanced scorecard	Four-perspective measurement system (Kaplan and Norton).
SWOT	Strengths, weaknesses, opportunities, threats.
PESTEL	Political, economic, social, technological, environmental, legal factors.

Table 38: Glossary.

Pair	Quick way to separate them
Mission vs vision	Today and purpose vs tomorrow and aspiration.
Goal vs objective	Broad and qualitative vs specific, measurable and dated.
Strategy vs tactics	Overall long-term pattern vs short-term action.
Strategy vs policy	Chosen direction vs standing rule for handling situations.
Corporate vs business strategy	Which businesses? vs how to compete in one business?
Business vs functional strategy	Market competition vs support from functions.
Intended vs realized strategy	What was planned vs what was done (deliberate + emergent).
Strategic vs operational decisions	Long, costly, uncertain, top level vs short, routine, lower level.
Formulation vs implementation	Deciding what to do vs doing it.
Strategic planning vs strategic management	Planning is one part; management adds implementation and control.

Table 39: Frequently confused pairs.